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Case Number: 24STCV07131 Hearing Date: June 29, 2026 Dept: 11

Preliminary Approval of Class Action

Settlement

Department SSC-11

Hon. Bruce G. Iwasaki

Robert Anthony Moreno v. Wilder's Foundation

Case

No.: 24STCV07131

Hearing: June 29, 2026

TENTATIVE RULING

GRANT

preliminary approval contingent

on the parties addressing the following:

1. The escalator clause at Settlement Agreement

¶8 provides Defendant with the option to decrease the Gross Settlement Amount if the workweek total is lower than a certain threshold. How is this proper? Based on current records, the parties and/or administrator must review and verify the workweek total, and the GSA must be confirmed and finalized, prior to preliminary approval being granted and notice being distributed. In addition, remove language from ¶8 allowing for the decrease of the GSA.

2. The Notice at section III.1.a states that Defendant will fund the settlement “no later than the Effective Date.” This is inconsistent with Settlement Agreement ¶4.3 which states that Defendant is to fund the settlement “no later than 30 calendar days after the Effective Date.” Please resolve.

BACKGROUND

Plaintiff

Robert Anthony Moreno sues his former employer, Defendant Wilder’s Foundation, for alleged wage and hour violations. Plaintiff seeks to represent a class of Defendant’s current and former non-exempt employees.

On

March 21, 2024, Plaintiff filed a class action complaint against Defendant alleging causes of action for: (1) failure to provide meal periods in violation of Labor Code sections 226.7, 512, and 558; (2) failure to provide rest periods in violation of Labor Code sections 226.7, 512, and 558; (3) failure to pay all wages in violation of Labor Code sections 510, 1194, and 1194.2; (4) failure to timely pay wages due at termination in violation of Labor Code sections 201 – 203; (5) failure to timely pay employees in violation of Labor Code section 204(a), (b); (6) failure to reimburse for business expenses in violation of Labor Code section 2802; (7) failure to pay for all hours worked, including overtime hours worked, in violation of Labor Code sections 210 and 218; and (8) violation of Business and Professions Code section 17200.

On April 3, 2025, the Parties

participated in an all-day mediation session with Lisa Klerman, which resulted in settlement. The terms of settlement were finalized in the long-form Class Action Settlement Agreement (“Settlement Agreement”), a copy of which is attached to the Declaration of Roman Otkupman (“Otkupman Decl.”) as Exhibit A.

Now

before the Court is the Motion for Preliminary Approval of the Settlement.

SETTLEMENT CLASS DEFINITION

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“Class” means all current and former hourly-paid or non-exempt employees who

worked for Defendant in California at any time during the Class Period. (¶1.4)

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“Class

Period” means the period from March 21, 2020 through June 2, 2025. (¶1.11)

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“Participating

Class Member” means a Class Member who does not submit a valid and timely Request for Exclusion from the Settlement. (¶1.26)

TERMS OF SETTLEMENT AGREEMENT

The essential terms are as follows:

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The Gross

Settlement Amount (“GSA”) is \$240,000, non-reversionary.

(¶3.1)

o Escalator Clause: Based on its records,

Defendant estimates that there are approximately 5,100 Workweeks in the Class Period. If the actual number of Pay Periods increases by more than 10% for the Class Period (i.e., more than 5,610 Workweeks), the Gross Settlement Amount will be increased proportionately over the 10% increase (i.e., if the number of Workweeks increases by 11%, the Gross Settlement Amount will increase by 1%). Similarly, if it is determined that the number of Workweeks from during the class period decreases by ten percent (10%) or more of 5,100 (i.e., less than 4,590 Workweeks), then the Gross Settlement Amount shall decrease proportionally over the ten percent (10%) decrease (i.e., if the number of Workweeks decreases by 11%, the Gross Settlement Amount will decrease by 1%). (¶8)

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The Net

Settlement Amount (“Net”) (\$111,000) is the GSA minus the following:

o Up to \$84,000

(35%) for

attorney fees (¶3.2.2);

o Up to \$20,000 for litigation costs (Ibid.);

o Up to \$10,000 for a Service Payment to the Named Plaintiff (¶3.2.1); and

o Up to \$15,000 for settlement administration costs (¶3.2.3).

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Defendant

will separately pay any and all employer payroll taxes owed on the Wage Portions of the Individual Class Payments. (¶3.1)

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There

is no claim form requirement. (¶3.1)

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Individual Settlement Payment Calculation: Each

Participating Class Member will receive an Individual Class Payment calculated by (a) dividing the Net Settlement Amount by the total number of Workweeks worked by all Participating Class Members during the Class Period and (b) multiplying the result by each Participating Class Member's Workweeks. (¶3.2.4) Non-Participating Class Members will not receive any Individual Class Payments. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (¶3.2.4.2)

o Tax Allocation: Participating Class Member's Individual Class Payments will be allocated as follows: 20% as wages, 80% as interest and penalties. (¶3.2.4.1)

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Response Deadline: "Response Deadline"

means 45 days after the Administrator mails Notice to Class Members and Aggrieved Employees, and shall be the last date on which Class Members may: (a) fax, email, or mail Requests for Exclusion from the Settlement, or (b) fax, email, or mail his or her Objection to the Settlement. Class Members to whom Notice Packets are resent after having been returned undeliverable to the Administrator shall have an additional 14 calendar days beyond the Response Deadline has expired. (¶1.33) The same deadline applies to the submission of

workweek disputes. (¶7.5)

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Funding

of Settlement: Defendant shall deposit the Gross Settlement Amount with the Settlement Administrator no later than 30 calendar days after the Effective Date. (¶4.3)

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Disbursement:

Within 14 days after Defendant fully funds the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. Disbursement of the Class Counsel Fees Payment, Class Counsel Litigation Expenses Payment, and Class Representative Service Payment shall not precede disbursement of Individual Class Payments. (¶4.4)

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Uncashed Settlement Checks: The face of each check shall prominently state the date (not less than 180 days after the date of mailing) when the check will be voided. (¶4.4.1) For any Class Member whose Individual Class Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure Section 384, subd. (b). (¶4.4.3)

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The settlement

administrator will be ILYM Group, Inc. (¶1.2)

Participating class members and the named Plaintiff will release certain claims against Defendant.
(See further discussion below)

ANALYSIS OF SETTLEMENT AGREEMENT

1. Does a presumption of fairness exist?

1.

Was

the settlement reached through arm's-length bargaining? On April 3, 2025, the Parties participated in an all-day mediation session with Lisa Klerman. Following the mediation, the Parties reached a settlement via a mediator's proposal. (Otkupman Decl., ¶16.)

2.

Were

investigation and discovery sufficient to allow counsel and the court to act intelligently? Class Counsel represents that subsequent to the filing of Plaintiff's complaint, the parties informally exchanged information and documentation. As part of the exchange of information, Defendant produced data related to the Class Members, including statistical data, which was used to calculate a damage model and liability analysis. Specifically, Defendant provided the following: (a) Statistical data, including records of its employees, which consisted of wage statements, clock-in and clock-out times; times taken for meal breaks, and their wages earned during the relevant pay periods. This was used to calculate a damage model and liability analysis; (b) Written policies and procedures on meal breaks, rest breaks, overtime compensation, and expense reimbursement; (c) The number of workweeks in the class and the total number of the class members; and (d) Plaintiff's personnel file, time records, and payroll records. Defendant provided a thirty percent (30%) randomized sample of time and payroll records. (Id. at ¶14.)

3.

Is

counsel experienced in similar litigation? Yes. Class Counsel is experienced in class action litigation, including wage and hour class actions. (Id. at ¶15.)

4.

What

percentage of the class has objected? This cannot be determined until the fairness hearing. See Weil & Brown, Cal. Practice Guide:

Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, ("Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing.").

CONCLUSION: The settlement is entitled to a presumption of fairness.

2.

Is the settlement fair, adequate, and reasonable?

1.

Strength of Plaintiff’s case. “The most important factor is the strength of the case for plaintiff on the merits, balanced against the amount offered in settlement.” (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.) Here, Class Counsel has provided information, summarized below, regarding the estimated values of the class claims alleged:

Violation

Maximum Exposure

Realistic Exposure

Overtime

Violations

\$137,700.00

\$41,310.00

Rest

Break Violations

\$183,600.00

\$55,080.00

Meal

Break Violations

\$183,600.00

\$55,080.00

Unreimbursed
Business Expenses

\$51,000.00

\$51,000.00

Waiting
Time Penalties

\$66,960.00

\$66,960.00

Interest

\$18,860.10

\$18,860.10

Total

\$641,720.10

\$288,290.10

(Otkupman
Decl., ¶137.)

2. Risk, expense, complexity and likely duration of further litigation. Given the nature of the class claims, the case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk of

maintaining class action status through trial. Even if a class is certified, there is always a risk of decertification. (See *Weinstat v. Dentsply Intern., Inc.* (2010) 180 Cal.App.4th 1213, 1226 (“Our Supreme Court has recognized that trial courts should retain some flexibility in conducting class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate.”).)

4. Amount offered in settlement. Plaintiff’s counsel estimated Defendant’s maximum exposure at \$641,720.10 and realistic exposure at \$288,290.10. Plaintiff’s counsel obtained a \$240,000 non-reversionary settlement. This is approximately 37.4% of Plaintiff’s potential maximum recovery and 83.2% of the estimated realistic recovery which, given the uncertain outcomes, is within the “ballpark” of reasonableness.

The settlement amount, if reduced by the requested deductions, leaves approximately \$111,000 to be divided among approximately 131 class members. Assuming full participation, the resulting payments will average approximately \$847.32 per class member.

5. Extent of discovery completed and stage of the proceedings. As indicated above, at the time of the settlement, Class Counsel had conducted sufficient discovery.

6. Experience and views of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, is experienced in class action litigation, including wage and hour class actions.

7. Presence of a governmental participant. This factor is not applicable here.

8. Reaction of the class members to the proposed settlement. The class members’ reactions will not be known until they receive notice and are afforded an opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed “fair, adequate, and reasonable.”

3.

Scope of the release

Releases of Claims. Effective on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiff and Class Members, will release claims against all Released Parties as follows: (¶5)

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Release by Participating Class Members: All Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release Released Parties from all claims that were pled in the Action and claims that could have been pled in the Action based on the same operative facts and that occurred during the Class Period. (¶5.2)

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"Released Parties" means: Defendant and each of its former, present and future owners, parents, and subsidiaries, and all of their current, former and future spouse(s), children, officers, directors, members, managers, employees, consultants, partners, shareholders, joint venturers, agents, predecessors, successors, assigns, accountants, insurers, reinsurers, management companies, and legal representatives. (¶1.31)

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Named Plaintiff will also provide a general release and CC § 1542 waiver. (¶¶5.1-5.1.1)

4.

May conditional class certification be granted?

1.

Standards

A detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified (*Amchem Products, Inc. v. Winsor* (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a

different standard to determine the propriety of a settlement class as opposed to a litigation class certification.

Specifically, a lesser standard of scrutiny is used for settlement cases. (Dunk at 1807, fn 19.)

Finally, the Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (Wershba at 240.)

2.

Analysis

a.

Numerosity. There are approximately 131 class members. (Memo ISO Prelim at 14:8-9.) This element is met.

b.

Ascertainability. The proposed class is defined above. The class definition is “precise, objective and presently ascertainable.” (Sevidal v. Target Corp. (2010) 189 Cal.App.4th 905, 919.) The class members are identifiable from Defendant’s records. (Memo ISO Prelim at 14:5-6.)

c.

Community of interest. “The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.’” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As to commonality, Plaintiff contends that each of the class members did not receive: meal and rest breaks, all wages owed, timely payment of wages, all wages due at termination, and reimbursement for business expenses. (Memo ISO Prelim at 14:17-19.)

As to typicality, Plaintiff asserts that his claims are the same as that of the Class. (Id. at 14:12-16.)

As to adequacy, Plaintiff represents that he is aware of the duties and risks of serving as class representative and has participated in the litigation. (Declaration of Robert Anthony Moreno, ¶¶5-10.)

d.

Adequacy

of class counsel. As indicated above, Class Counsel has shown experience in class action litigation, including wage and hour class actions.

e.

Superiority. Given

the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION: The class may be conditionally certified since the prerequisites of class certification have been satisfied.

5.

Is the notice proper?

1.

Content

of class notice. The proposed notice is attached to the Settlement Agreement. Its content appears to be acceptable. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions from the gross settlement amount (attorney fees and costs, enhancement awards, and administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing.

Notice will be given in English and Spanish. (¶1.10)

2.

Method

of class notice.

Not later than 14 days after the Court grants

Preliminary Approval of the Settlement in this Action, Defendant will deliver

the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶4.2) Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. Using best efforts to perform as soon as possible, and in no event later than 14 days after receiving the Class Data, the Administrator will send to all Class Members identified in the Class Data, via first-class United States Postal Service ("USPS") mail, the Class Notice. (¶7.3.2)

No later than 3 business days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. (¶7.3.3)

The deadlines for Class Members' written objections, Challenges to Workweeks, and Requests for Exclusion will be extended an additional 14 days beyond the 45 days otherwise provided in the Class Notice for all Class Members whose notice is re-mailed. (¶7.3.4) Notice of Final Judgment will be posted on the Settlement Administrator's website. (¶7.7.1)

3.

Cost

of class notice. As indicated above, settlement administration costs are estimated not to exceed \$15,000. Prior to the time of the final fairness hearing, the claims administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

6. Attorney fees and costs

CRC rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney

fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) Despite any agreement by the parties to the contrary, "the court ha[s] an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether Class Counsel is entitled to \$84,000 (35%) in attorney fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each counsel.

Fee Split: Class Counsel

represent that they have a fee-splitting agreement with D.Law, Inc. of which Plaintiff has been given written notice and provided his approval, in which D.Law, Inc. will receive 33 and 1/3% of the attorney's fees and Class Counsel will receive 66 and 2/3% of the attorney's fees. (Otkupman Decl., ¶139.)

Class Counsel should also be prepared to justify the costs sought (capped at \$20,000) by detailing how they were incurred.

7.

Incentive Award

The Settlement Agreement provides

for an enhancement award of up to \$10,000 to the named Plaintiff. In connection with the final fairness hearing, named Plaintiffs must submit a declaration attesting to why he or she should be entitled to an enhancement award in the proposed amount. The named Plaintiff must explain why he or she "should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class." (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial courts should not sanction enhancement awards of thousands of dollars with "nothing more than pro forma claims

as to 'countless' hours expended, 'potential stigma' and 'potential risk.' Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiff, is required in order for the trial court to conclude that an enhancement was 'necessary to induce [the named plaintiff] to participate in the suit'" (Id.

at 806-807, italics and ellipsis in original.)

The Court will decide the issue of the enhancement awards at the time of final approval.